

MEDIA RELEASE:

DFSA's inaugural tokenisation regulatory sandbox attracts expression of interest from close to 100 firms, marking major milestone in DIFC's fintech development

Dubai, United Arab Emirates, 12 May 2025: The Dubai Financial Services Authority (DFSA), the independent regulator of the Dubai International Financial Centre (DIFC), has announced that 96 innovative firms have expressed interest in the DFSA's inaugural Tokenisation Regulatory Sandbox. The launch of the sandbox marks a major step forward in the DFSA's strategy to support responsible financial innovation within the DIFC and reflects its growing focus on tokenisation as a transformative force in financial services.

The Tokenisation Regulatory Sandbox forms part of the DFSA's Innovation Testing Licence programme and supports the regulator's broader commitment to fostering innovation while maintaining market integrity and protecting investors. Expressions of interest came from a diverse range of sectors that are exploring the tokenisation of financial assets and instruments, including those associated with the tokenisation of shares, bonds (including Islamic bonds (sukuk)), units in a fund, and the trading and safe custody of those assets – reflecting the broad potential of tokenisation across the financial ecosystem.

The initiative attracted strong interest from both established financial institutions wishing to explore tokenisation use cases and innovative start-ups looking to scale breakthrough digital asset solutions in a regulated environment. This strong engagement underscores DIFC's growing appeal as a global hub for digital finance and innovation.

Justin Baldacchino, Managing Director, Supervision, DFSA, said: *"We are excited to see such strong interest in the DFSA's Tokenisation Regulatory Sandbox and to talk about it at the Dubai FinTech Summit. This momentum supports the DFSA's strategic commitment – and aligns with the Dubai Economic Agenda D33 goal – to position Dubai among the world's top four global financial hubs by 2033. The sandbox marks a new chapter in our engagement with innovative financial technologies, enabling firms to safely test tokenised solutions in a transparent, measured, and responsible manner, within a well-regulated environment, without being subject to the full suite of regulatory requirements that would otherwise apply."*



The DFSA's themed sandbox approach enables targeted supervision, constructive regulatory dialogue, and the development of tailored policy responses to emerging financial technologies while fostering responsible innovation in the market. It also supports DIFC, Dubai, and the United Arab Emirates' broader ambition to become a global hub for digital assets, fintech, and next-generation financial services and market infrastructure.

Following the Expressions of Interest stage, selected firms will be invited to apply for an Innovation Testing Licence and enter a live testing phase under DFSA oversight, where they can refine their offerings while addressing critical areas such as investor protection, transparency, and financial stability. Upon successful completion of the programme, firms may apply to transition to a full, unrestricted licence, or withdraw their Innovation Testing Licence. For more information on the Innovation Testing Licence, access the explainer guide [here](#).

The DFSA's Tokenisation Regulatory Sandbox underscores the DFSA's commitment to enable innovation in a way that is responsible, informed, and aligned with global regulatory best practice.

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Editor's notes:

The Dubai Financial Services Authority (DFSA) is the independent regulator of financial services conducted in and from the Dubai International Financial Centre (DIFC), a purpose-built financial free zone in Dubai, UAE. The DFSA regulates and supervises financial services firms and markets in the DIFC. These include asset managers, banks, custody and trust services, commodities futures traders, fund managers, insurers and reinsurers, traders of securities and fintech firms. We supervise exchanges and trading platforms for both conduct and prudential purposes, overseeing an international securities exchange (Nasdaq Dubai) and an international commodities derivatives exchange (Gulf Mercantile Exchange). The DFSA is also responsible for supervising and enforcing anti-money laundering and countering the financing of terrorism requirements applicable in the DIFC. Please refer to the [DFSA's website](#) for more information.

Justin Baldacchino is the Managing Director of Supervision at the DFSA, bringing 25 years of international finance experience. He possesses deep expertise in regulatory interpretation, liaison, implementation, risk, regulatory affairs, compliance, anti-money laundering (AML), capital, liquidity, innovation, and technology. Joining the DFSA in 2020, Mr Baldacchino previously served as the Group Head of Regulatory Compliance for ANZ Bank in Australia and held various senior roles at JP Morgan in Hong Kong, including Head of Regulatory Compliance, Asia-Pacific, and Head of International Operational Risk, Asia-Pacific. He also served as Head of Compliance and Risk Governance, Asia for National Australia Bank in Hong Kong. Mr Baldacchino is an alumnus of Melbourne Business School with an MBA and a Post Graduate Diploma, and he holds a Bachelor of Economics from La Trobe University. He completed the Harvard Executive Programme in Regulatory Strategic Management and is a certified AML Specialist. He has served as an Executive Board Member for the Association of Certified Anti-Money Laundering Specialists and is currently a member of The Basel Consultative Group.

